

Q What does the Indian startup ecosystem look like today?

A solid ecosystem has evolved over the recent past with global and local venture capital as well as angel/seed fund being available. There are over 200 accelerators/incubators operating within this ecosystem along with the 1000+ MNCs that have made India their R&D hub. The majority of the new generation of startup founders that we see today are more experienced. They have gained significant experience in these MNCs, have travelled and worked globally, and are more focused on creating globally competent products and platforms for today.

A plethora of challenges still remain, though. Indian businesses continue to be slow in adopting new technologies, and the availability of cheap labour in comparison to other developed regions delays any ROI from automation investments. There is also a lack of confidence in homegrown startups and a pervasive mindset of squeezing the best possible price out from them.

Now, most new age startups are following the Israeli model of establishing a global connect and customer base for scale-up, after product development and post piloting. They look to achieving the product-market fit in India even while taking into consideration the global customers' requirements.

Q What is the main motive of the Bharat Innovation Fund (BIF)?

The Bharat Innovation Fund is a US\$ 100 million early stage venture fund with a mission to invest in deep tech, IP and innovation-led startups in India, beyond the current wave of consumer focused e-commerce, hyper-delivery and marketplace models.

The roots and affiliation of the Bharat Innovation Fund go back to the Centre of Innovation Incubation and Entrepreneurship (CIIE), IIM Ahmedabad, that led several initiatives aimed at boosting entrepreneurship in India by backing purpose-driven entrepreneurs to solve some of

the toughest problems for more than a decade.

We believe we have now entered the third wave of the startup evolution phase in India – focused on more B2B, IP and innovation-led startups. This is a different trajectory from the previous two waves which were IT/BPO/services based (in the 1990s) and the Indian consumer story with B2C e-commerce/marketplace models (in the last decade). While the consumer segment seems hyper-invested for now, with winners getting funded even though opportunities remain in niche areas, the startup ecosystem is becoming more about the enterprise, and is B2B, deep tech and IP focused.

Q What kind of businesses and which industrial segments will BIF focus on?

The Bharat Innovation Fund supports deep-tech innovations in various industrial segments including healthcare, agriculture, energy, fintech, digital and other emerging sectors. The Fund invests at the pre-Series-A and Series-A stages, and is backed by marquee Indian and global investors.

Deep tech for us involves the focus on core technology as a fort or moat for the business. We look for not just any technology-enabled solutions, but innovative ones that have the potential to create a defensible IP and hence prove difficult for competitors to replicate.

Q What criteria does BIF look for in the startups that it selects for funding?

At the Bharat Innovation Fund, we look for all the usual criteria that make a startup successful – a large and emerging market, a great team of co-founders, an innovative solution and traction in the market. We also look at the transformations that are happening in the market and try to crystal gaze about what to expect in the next few years, drawing analogies and comparisons with similar models and ecosystems. We search for differentiated technology and innovative solutions that will be the fort and moat to compete not just in India, but globally.

Q Tell us about the application procedure that startups follow to acquire aid from BIF.

It's no different than approaching other venture capital funds. We encourage startup founders to reach out to us directly or through references. They could look for us on LinkedIn and Twitter, and reach out directly to the BIF team members, on their personal LinkedIn and Twitter accounts. We could also cross paths in the startup award juries, conferences and other startup events that we usually participate in.

Following the initial introduction, the founders should send a presentation of their company to us, articulating the problem they are trying to solve, the solution, the market size, the background of the founding team, the IP and tech innovation of the solution, its competitive analysis, traction in the market, and so on. As we are swamped with several startups approaching us, our reverts might not be quick. So they shouldn't be shy to ping again if they don't hear back from us within a few weeks!

The stakes are pretty high because while we may be interacting with close to 500-1000 startups in a given year, we will fund only 20-25 startups.

Q Apart from the fund, will there be any other form of support from your foundation?

Yes, we do go beyond funding. In addition to the capital, we also bring together global networks, distribution channels, research infrastructure, strategic insights, customer and partner connects, and the deep sectoral understanding of our investors and team. The BIF team brings together diverse experiences — from incubation and venture investing to building massively-scalable tech products, and decades of operational experience leading businesses in the corporate and startup spaces.